

p1.0 PURPOSE:

The purpose of this procedure is to explain the entire operational procedure to be followed at the Warehouse.

2.0 SCOPE:

This procedure covers Receipt, Storage, Picking, Packing, Loading, Inventory Controls, Storage Racking, Safety and House Keeping which are to be followed at the outsourced warehouse at Bhiwandi.

3.0 PROCEDURE:**Receipt:**

- To get the Incoming Import Shipment Data from Custom Clearance agencies in Soft form and do the MIRO in advance for next day incoming material.
- Receive vehicles with Finished Product Consignments – Import shipment & Local Supply.
- Warehouse security to do the visual inspection of the vehicle for any abnormalities – Overloading, intact seal (for sealed containers), monsoon protection, etc at the unloading bay. Report abnormalities / discrepancies to the warehouse in-charge and do not allow unloading until clearance from the in-charge.
- Security to check the accompanying documents of the consignments for delivery address and then make Inward Entry in the security register and endorse date stamp on the documents.
- Unload shipments under supervision using appropriate material handling equipment. Any visible damages noticed at the time of unloading should be reported and necessary remarks endorsed on the LR. Take photographs of the damaged packages for record purpose.
- For import shipments, weigh the packages and match the weight with the weight mentioned on the boxes. Any variation in weight should be reported and necessary remarks should be endorsed on the LR.
- The empty packing boxes of damage / shortage cases should be retained till insurance survey / issue settlement.
- Import shipments are moved for case opening and MRP label pasting. Local materials received in cage boxes are shifted to the storage area. Check the items as per the documents for quantity and part number.
- Material mismatch / shortage / excess should be reported and remarks endorsed on the delivery challan.
- Move material to the storage area for binning manually.
- Case opening scrap material to be handover to Siemens listed Scrap vendor on a weekly basis , during entire Scrap handover activity , vendor loads his vehicle and it is weighed in present of Siemens Security personal and accordingly document is prepared along with empty vehicle weight bill and filled Bill. Accordingly Invoices is generated from SAP with these inputs

Storage:

- Material to be rechecked as per documents once again and stacked in the pre-defined locations. Locations in the storage area are broadly defined for a product group.
- Material received in cage boxes from local supply should be emptied and shifted to the warehouse storage cage boxes. Move the checked cage box items to the cage box location.
- MIGO to be completed once the Quantity is verified with Invoices, and Transfer Order to be prepared in SAP.

- Write location number on the document against each item binned, Put away Location is manually placed in SAP.
- Do location audit on daily basis for the binned item through a shop supervisor.
- Empty cage boxes (used for transshipment) should be checked and moved to the loading area for return movement. Load the empty cage boxes into the container which is on its return trip to factory. Security guard should re-check the empty cage boxes at the time of container loading.

Agreed Timelines for Receipt & Binning:

1. Truck unloading : Within 2 hrs
2. Binning & GRN : Local Receipt - within 1 working day (SLA-97%)
: Import - within 2 working days (SLA-97%)

Picking:

- Receive Delivery Transfer Order soft copy from Siemens.
- Generate customer-wise Pick List based on Transfer Order information (service provider Warehouse Management System).
- Do material picking based on Pick List with proper checking. Use material picking trolleys for movement of material from location to packing area.
- Material should be picked only from the location specified in the Pick List as per quantity. This should be strictly followed to maintain FIFO. Any location mismatch during picking should be reported for verification and system correction.
- Use proper handling devices for material removal from location – High reach / Stacker / Fork Lift / Ladder.
- Do not drop products while picking and avoid over stacking of products on the material picking trolley which can lead to toppling of products.

Packing:

- Once Picked, Picklist to confirm in WMS & get Picklist Data in Scanners.
- After selection of Picklist on Scanner, Boxes to be identified, Box Code to be scanned and Pack the material into the box by scanning each quantity.
- Once Scanning completes, Packing Slip number is auto generated, print of this Packing Slip needs to be print out and paste it on the Box packed.
- Use wooden pallets and hydraulic trolley for the packing and moving of cartons to the packed box Storage area.
- Do Packed Goods Audit daily by randomly picking the packed cartons for complete opening and re-verification of items.

Agreed Timeline for Picking & Packing:

1. Normal Pick List - Within 2 working day (SLA-97%)
2. Urgent Pick List - Within 8 hrs (SLA-97%)

Dispatch Loading:

- Loading Sheet of all Packed Orders is prepared in WMS and data is given to Siemens for Invoicing with required details.
- Check and remove the boxes from the box storage area as per the loading sheet and bring it to the dispatch area.
- Boxes along with the loading sheets are cross checked and are handed over to the transporter for their checking and marking.
- Check the vehicle before loading for the road worthiness and monsoon protection covers.
- Once marking / sticker pasting is complete from transporter end, the security should check the cartons once again as per loading sheet and allow transporter to move the boxes into the vehicles using material loading equipments.
- Check the truck for proper loading / lashing and monsoon protection covers.
- For odd dimension and delicate product loading in direct trucks special checks should be done for the proper loading / stacking. Photograph of the loaded vehicle should be taken for such cases for record.
- The loaded vehicle should be released by security only after getting the necessary gate pass documents and out entry should be made in the security register.

Agreed Timeline for Loading:

1. Local Delivery vehicle loading - Completion by 12am
2. Courier / Direct Truck loading - 2 hrs from Loading Sheet handover

Physical Inventory:

- Perpetual Inventory – Daily basis for a select few location on rotation.
- Quarterly full physical inventory for the entire stock and reconciliation within 2 weeks
- Physical Inventory through Scanners on WMS Inventory tool.
- System correction for the stock difference after necessary approvals.
- Inventory accuracy of 99.85% should be maintained

Agreed Timeline for Inventory:

1. Monthly Physical Inventory : SLA : 99.85%
Physical Count - 1 day
Reconciliation & system correction - within 14 days

Storage Racking:

- Storage Racks – HD & Slotted Angle Racks should be properly fixed on the floor using anchor fastener and proper tie-ups should be done to avoid toppling.
- Support Bar should be fixed at the back end of all the racks to prevent pallet / material tilting from the back end.
- A minimum gap of 1 meter shall be maintained between each rack.

- Goods shall be stacked leaving a space of minimum 1 meter from ceiling by which ensuring no contact with electrical wirings / lightings.
- Goods shall be kept well clear of light fittings, heating pipes and appliances, fire-fighting and alarm equipments and doors.
- Pallets placed on HD Racks should not protrude outside horizontal beam & it should be fit to size. The goods placed on the pallets should be stacked properly to avoid toppling during removal.
- Suitable tools like ladders, platforms or walkways shall be provided to climb or remove goods from racks or shelves by which ensuring no injuries to the workers.
- Safety belts or other useful aids shall be provided to workers when handling with high stacks.
- The racks and shelves shall be made with no sharp corners or cutting edges thereby ensuring no injuries to the workers.
- Marking on labels and sign for the identification and selection of materials and goods shall be clear and easy to read.

Storing of material on floors:

- The area for placing the materials on floor shall be marked and identified.
- A height of 4 – 5 feet (depending on the size of boxes) shall be maintained for easy handling of materials and to avoid fall of boxes that may lead to injury to workers or passer-by.
- To avoid dampness in carton boxes due to long storage, appropriate storage procedure to be followed;
 - Dampness will reduce the strength of the cartons and a damp floor may well lead to damage of the lowest tier and ultimate collapse of the stack.
- Proper spacing shall be provided around the stacking area for easy handling and inspections.
- "NO SMOKING" sign shall be posted in all storage area.

Safe Material Movement:

- The area for placing the ready for dispatch goods shall be marked and identified.
- Ready for dispatch goods shall be properly stacked and secured to avoid fall of materials which may cause injuries to the workers.
- Proper lightings shall be made throughout the transit area for ensuring safety.
- The materials shall be lifted / carried using appropriate trolleys or forklifts or appropriate tools.

Storage Inspections:

- Stored materials shall be inspected in a specified frequency to determine whether the materials are susceptible to damage, heat, deterioration, shrinking, corrosion or attack by insects or fungus.
- The frequency of the inspections shall be fixed based on the type and method of storage and criticality of the material.
- Care shall be taken during inward inspections to ensure that no damaged products were taken to stores for storage.
- Periodic inspections on electrical wirings, light fittings shall be done to avoid fire risks.

- All fire protection equipments, emergency exists shall be periodically inspected & tested for ensuring safe working environment. Inspection data should be maintained and reported.
- Periodical testing and certification should be obtained for all lifting equipments and lifting toggles.

Housekeeping:

- Waste and unused materials shall not be accumulated in the storage areas.
- Regular and frequent waste removal and cleaning shall be done to ensure safe storage area.
- Care shall be taken that all fire exits / emergency exits are free from waste accumulation.
- Housekeeping shall be done daily and the same shall be recorded.

Lighting:

- Sufficient and suitable lightings (whether natural or artificial) shall be provided at all places. This includes outside yards and storage areas.
- Lightings shall be done in such a way that there is no dark shadows or glares at the working area of stacks and storages.

Training for Employees:

- Employees involved in the storage, stacking, loading and unloading of materials shall be trained to carryout their tasks safely and efficiently.
- Awareness training on nature of our materials, the hazards involved and the precautions to be taken shall be given to the respective employees.
- Training shall be given on EMS, Safety and Logistic Process awareness; the authorized Siemens' officer will impart / arrange the training program. The service provider will ensure that all ther
- Fire safety, including the use of fire-fighting equipments shall be trained for identified persons in all areas.

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